

when price was bottoming at B. Other stocks in the retail store industry were bottoming at the same time or were completing a bottom retest (a higher low).

What was clear after the March bottom was that everything started moving up in tandem. The industry started recovering, as did the general market (a new bull run). A buy signal occurred when price closed above the down-sloping trendline. The high volume at B (a common bottom phenomenon) also suggested a bottom—panic selling.

Additional evidence of a major turn comes from points A and B. Point A marks a major turning point for the stock; B, being a higher low, is a retest of that low. Since B did not drop below A, it is a bullish signal.

If you missed the trendline signal and higher low at B, then a close above the double top would be another buy signal. With a 54% average rise for a single busted double top, you have plenty of time to buy. If you bought at the B low, you would have made 73%. Buying at the double top high would have made a profit of 36%. The stock topped out at 44.13, by the way, before tumbling back to 32, near the double top high.

Not all trades will work out as well as this one, and your timing has to be exquisite. A major bull run began after the October low, and the industry responded with large gains. Both helped propel the stock higher. A combination of bullish factors is often what separates a winning trade from a losing one.